Reserve Bank put out its reserve position in real time and why doesn't it give out the currency composition of its reserves?

Actually, the Reserve Bank puts out the data on foreign exchange reserves every week with a lag of one week. It also publishes a half-yearly report on the management of foreign exchange reserves indicating several details, including the objectives of the reserve management strategy, and the adequacy of the reserves as measured by several metrics, risk management practices and the like. However, it does not disclose the currency composition of the reserves because, as the forex reserves manager, the Reserve Bank is like any other commercial entity in the market. The information is market sensitive and disclosure could potentially impact our commercial interests adversely. Disclosure also has wider implications for our international relations. Furthermore, market efficiency is in no way affected by this non-disclosure. Indeed, non-disclosure is the norm around the world; a majority of countries, particularly the large reserve holders, do not disclose the composition of their foreign exchange reserves.

The Reserve Bank has, however, progressively moved towards a greater degree of disclosure in line with international best practices. It is among sixty-eight central banks from around the world to have adopted the Special Data Dissemination Standards (SDDS) template for publication of detailed data on foreign exchange reserves, including some information on currency composition, investment pattern and forward positions. These data are released on a monthly basis on the Reserve Bank's website. The Reserve Bank is also one of the very few central banks which publish their market intervention numbers; it does so in its monthly bulletin with a lag of two months.

Use of Reserves for Domestic Capital Expenditure

For a cash-strapped government like ours with huge and compelling expenditure needs, there is a big temptation to dip into the foreign exchange reserves in the custody of the Reserve Bank to finance capital expenditure. The idea was most actively canvassed by Montek Singh Ahluwalia, deputy